

Unemployment in India

1. Meaning of Unemployment

Unemployment refers to a situation where people who are willing and able to work at prevailing wage rates are unable to find suitable employment opportunities. According to the Periodic Labour Force Survey (PLFS) by the National Statistical Office (NSO), unemployment is measured through the Unemployment Rate (UR):

$$\text{Unemployment Rate} = (\text{Number of unemployed persons} / \text{Labour force}) \times 100$$

2. Current Status of Unemployment in India (Latest Statistics)

Overall Unemployment Rate

Period	Unemployment Rate
PLFS June 2026	5.5%
PLFS July 2026	5.1%

India's unemployment rate declined to **5.1% in July 2026** from **5.5% in June 2026**, showing improvement in labour market conditions.

3. Rural and Urban Unemployment (July 2026)

Area	Unemployment Rate
Rural India	4.5%
Urban India	6.7%
Overall India	5.1%

Urban unemployment remains higher because of stronger competition for formal jobs and migration towards cities.

4. Youth Unemployment in India

Youth unemployment is one of India's biggest employment challenges.

Youth (Age 15–29 years)

Year	Youth Unemployment Rate
2024	10.3%
2025	9.9%

Youth unemployment declined slightly, but it remains significantly higher than the overall unemployment rate.

Major Reasons:

- Lack of industry-ready skills
- Mismatch between education and job requirements
- Limited formal sector opportunities
- High competition among graduates

5. Types of Unemployment in India

1. Open Unemployment

People actively searching for jobs but unable to find employment.

Example: Graduates applying for jobs but remaining unemployed.

2. Disguised Unemployment

More people are employed than required, especially in agriculture.

Example:

A farm requires 3 workers but 6 family members work on it.

3. Seasonal Unemployment

Employment available only during certain seasons.

Example:

Agricultural labourers working mainly during sowing and harvesting periods.

4. Structural Unemployment

Occurs due to changes in economic structure.

Example:

Traditional workers losing jobs due to automation.

5. Frictional Unemployment

Temporary unemployment while changing jobs.

Example:

A person leaving one company and searching for another.

6. Major Causes of Unemployment in India**1. Rapid Population Growth**

- India has one of the world's largest working-age populations.
- Job creation has struggled to match the growing workforce.

2. Skill Gap

Many graduates lack:

- Technical skills
- Digital skills
- Industry-specific knowledge

This creates a gap between education and employment.

3. Dependence on Agriculture

- Agriculture employs a large workforce.
- However, productivity and income generation remain limited.
- Disguised unemployment is common.

4. Slow Growth of Manufacturing Sector

Manufacturing has potential for large-scale employment but has not expanded enough to absorb new workers.

5. Automation and Technology

AI, robotics, and automation are reducing demand for some traditional jobs.

Affected sectors:

- Manufacturing
- Data entry
- Banking operations
- Customer support

7. Effects of Unemployment

Economic Effects

Lower Income

- Reduced purchasing power
- Lower economic growth

Poverty Increase

- Families may struggle to meet basic needs.

Loss of Human Resources

- Skills remain unused.

Social Effects

- Increased inequality
- Migration pressure
- Mental stress among job seekers
- Delayed marriage and family formation among youth

8. Government Initiatives to Reduce Unemployment

1. Skill India Mission

Objective:

- Improve employability
- Provide vocational training

2. Make in India

Focus:

- Increase manufacturing
- Create employment opportunities

3. Startup India

Encourages:

- Entrepreneurship
- New businesses
- Self-employment

4. PM Employment Generation Programme (PMEGP)

Provides financial support for small businesses.

5. MGNREGA (Mahatma Gandhi National Rural Employment Guarantee Act)

MGNREGA is a rural employment guarantee scheme that provides wage employment opportunities to rural households. It aims to improve livelihood security and reduce unemployment in rural areas.

Features:

- Provides a minimum of **100 days of wage employment** to rural households whose adult members volunteer for unskilled manual work.
- Focuses on rural households and creates useful community assets such as roads, water conservation structures, and rural infrastructure.
- Helps reduce poverty and seasonal unemployment in villages.

6. VB-G RAM G (Viksit Bharat – Guarantee for Rozgar and Ajeevika Mission – Gramin)

VB-G RAM G is a new rural employment scheme introduced to strengthen rural livelihood security and improve employment opportunities. It aims to provide more employment days and connect rural employment with infrastructure development.

Features:

- Provides a guarantee of **125 days of wage employment** to eligible rural households in a financial year.
- Focuses on rural development through:
 - Water conservation and water security projects
 - Rural infrastructure development
 - Livelihood-related works
 - Climate-resilient projects
- Promotes sustainable employment and improves income security for rural workers.

9. Employment Trends in India

Positive Developments

1. Female workforce participation has improved
2. Manufacturing employment share has increased
3. Youth unemployment has slightly declined
4. Digital economy is creating new jobs

The PLFS 2025 report showed:

- Labour Force Participation Rate (LFPR): **59.3%**
- Worker Population Ratio (WPR): **57.4%**
- Youth unemployment reduced to **9.9%** in 2025.

10. Challenges Ahead

1. Creating Quality Jobs

India needs:

- Formal employment
- Better wages

- Social security

2. Managing the Demographic Dividend

India has a large young population. Without sufficient jobs, this can become a challenge rather than an advantage.

3. Improving Education System

Focus required on:

- Industry-oriented curriculum
- Vocational education
- Digital skills

• Causes or Reasons of Unemployment in India

• Rapid Population Growth

One of the main causes of unemployment in India is rapid population growth. Every year, a large number of young people enter the job market, but the creation of new jobs does not always match the increasing number of job seekers. This creates a gap between the number of people looking for work and the availability of employment opportunities.

• Dependence on Agriculture

A large part of India's population depends on agriculture for their livelihood. However, agriculture often provides seasonal employment, as farming activities are limited to certain periods of the year. Many people remain unemployed during the off-season. In addition, excessive dependence on small farms leads to disguised unemployment, where more people work than actually required.

• Slow Growth of Industries

Industrial development plays an important role in creating employment opportunities. However, slow growth of manufacturing industries limits the availability of jobs. Since industries can provide large-scale employment, limited industrial expansion increases unemployment, especially among young workers.

- **Lack of Skill Development**

Many people in India lack the practical skills required by modern industries. There is often a gap between the skills possessed by job seekers and the skills demanded by employers. This skill mismatch makes it difficult for many educated people to find suitable employment.

- **Problems in the Education System**

The education system often focuses more on theoretical knowledge rather than practical skills. Many students complete their degrees but lack technical knowledge, vocational training, and workplace experience. As a result, they face difficulties in finding jobs according to their qualifications.

- **Impact of Technology and Automation**

Advancement in technology and automation has increased productivity but has also reduced the need for certain types of manual labour. Workers who do not update their skills may find it difficult to compete in the changing job market.

- **Regional Imbalance**

Employment opportunities are not equally distributed across India. Large cities and developed regions have more industries and job opportunities, while rural and less developed areas often lack proper employment options. This creates regional differences in employment availability.

- **Lack of Entrepreneurship**

Many people depend mainly on government or private sector jobs and do not explore self-employment opportunities. Limited entrepreneurship reduces the creation of new businesses and employment opportunities.

Measures to Remove or Reduce Unemployment in India

- **Promotion of Skill Development**

Skill development programs should be expanded to provide young people with practical and industry-related skills. Training in areas such as technology, manufacturing, healthcare, and digital services can improve employment opportunities.

- **Development of Industries**

The growth of manufacturing and other industries should be encouraged because they can create large numbers of jobs. Sectors such as textiles, electronics, food processing, construction, and renewable energy have great potential for employment generation.

- **Improvement in Education System**

The education system should focus on practical learning, vocational training, internships, and career guidance. This will help students gain skills that match industry requirements and improve their chances of employment.

- **Encouragement of Entrepreneurship**

Entrepreneurship should be promoted by providing financial support, easy loans, business training, and market opportunities. Small and medium businesses can create employment for many people.

- **Modernisation of Agriculture**

Agriculture should be improved through better technology, irrigation facilities, food processing industries, and agro-based businesses. This can create additional employment opportunities in rural areas.

- **Development of Rural Areas**

Creating industries and improving infrastructure in rural areas can reduce migration to cities and provide local employment opportunities. Rural development can help achieve balanced economic growth.

- **Promotion of Digital Employment**

Digital technology has created new employment opportunities through online businesses, freelancing, remote work, and digital services. Promoting digital skills can help people access these opportunities.